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RICHARD A. GRECO AUDITOR
PIERCE COUNTY WASH
DEPUTY

CONTRACT FOR MAINTENANCE AND OPERATION OF ON-SITE SEWERAGE SYSTEMS

THIS CONTRACT, made and entered into this 18th day of October, 1985, between HELLER FINANCIAL, INC., formerly known as WALTER E. HELLER & COMPANY, a Delaware corporation, hereinafter called "Developer," and SPRINGFIELD WASTE MANAGEMENT ASSOCIATION, a Washington corporation, hereinafter called "Management Association." "Developer," as the owner of the real property, hereinafter called the "Real Property," described on Exhibit A, has executed and caused to be recorded a Supplemental Declaration of Covenants and Restrictions for an on-site sewerage system. Developer requires the services of an entity to manage the sewerage system for the Real Property which is covered by the Declaration. For valuable consideration, the parties hereby agree as follows:

1. Management Association agrees to provide maintenance and operation of an on-site sewerage system, and to provide all necessary surveillance of functioning of any on-site sewerage system, as well as keeping records, collecting fees, disbursing funds, and to perform any and all other duties regarding the Real Property which may be assigned to Management Association.

2. Developer herein agrees that when any portion of the Real Property is sold or leased to a third party, that as a condition of the sale or lease of the Real Property, the purchaser or the lessee, hereinafter called the "Owner," shall conform to the provisions of this Contract.

3. Developer agrees to provide each Owner to which this Contract applies a full and complete copy of this Management System Contract prior to the prospective Owner's signing of a purchase contract or lessee's signing of a lease.

4. In the event Developer retains possession of individual lots which contribute sewage to an on-site sewerage system, Developer's obligation will include those of a purchaser or lessee with respect to those individual lots.

5. Developer and Management Association mutually agree to make any amendments, additions, or deletions to this Contract as are approved by the local health officer, any other applicable regulatory agency, and the purchaser, provided, however, that such changes are legally necessary.

6. The Management Association has the right to contract with public or private agencies for labor and any other services which are necessary to effectuate this Agreement.

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7. Management Association shall retain such competent entities as are reasonably required by the local health officer and any other applicable regulatory agency, familiar with the maintenance and operation of the types of on-site sewerage systems managed by the Management Association.

8. Management Association will authorize the transfer of its authority and obligations under this Contract, if such a transfer is necessary to any other entity acceptable to regulatory agencies.

9. Whenever work is performed by Management Association on an individual Owner's property, Management Association shall restore all paving, planting, and other features of purchaser's property to its original condition as nearly as possible. The Owner of the particular portion of the Real Property shall bear the expense of the restoration costs.

10. Management Association shall have the right to enter upon an Owner's individual lot to perform routine inspections or work and to respond to emergency conditions.

11. Developer and Management Association, except in the event of an emergency that demands immediate action and upon notification to Management Association, may permit the Owner to perform repairs, replacements, and other work other than routine maintenance and operation on those portions of the sewerage system located on the Owner's property. Such work shall be performed under the following conditions:

(a) Design, materials, work to be performed, and time for completion shall be as directed by Management Association and shall comply with all applicable regulations.

(b) Cost of labor and material shall be borne by the Owner.

(c) Completed work shall be inspected and approved in writing by Management Association before being placed in service.

(d) Management Association may correct any improper construction performed by the Owner or require the Owner to make such corrections, and may complete any work not finished by said Owner within the time limit set by Management Association, and may bill the particular Owner for all labor and materials.

(e) Management Association shall enter such work into the maintenance and operation record.

12. In the event the affected properties are connected to an alternate public sewerage disposal system, the costs of such connection, if any, shall be the obligation of the property Owners.

13. Management Association shall have the following duties to perform and assure financial solvency of its operations:

(a) Establish an accounting and audit system in accordance with any applicable statute.

(b) Establish a standard maintenance and operation fee.

(c) Establish fees for initial installation of on-site sewerage system.

(d) Establish an emergency fund, if required.

(e) Preparation and implementation of a rate structure for various services that may extend beyond routine operation and maintenance due to variations in on-site sewerage systems to be serviced.

(f) Establish a procedure to permit billing Owners for any routine repair work, replacement, emergency work or modification undertaken on behalf or Owner's installation to cover costs of materials and labor, and other valid associated costs.

(g) Establish a method of rate adjustment to maintain adequate funds. The rates are to be reviewed annually and adjusted accordingly.

(h) Provide for collection of delinquent payments through property lien or any other legally acceptable method.

(i) Establish a method of transfer of funds at such time as those management responsibilities are transferred.

(j) Establish reserves to assure that adequate operation and maintenance funds are available for the sewage system operation.

14. In the event that the Real Property referred to herein is sold, then, and in that event, Management Association shall give to the prospective Owner a Maintenance and Operation Manual which shall include the following items:

(a) Periodic inspection of facilities to ascertain efficiency of operation and general conditions of equipment.

(b) Record keeping of inspections, monitoring, work done, conditions found, or any other applicable work. The records shall be available for inspection by the regulatory agencies.

(c) Periodic pumping of septic tanks or other storage tanks by licensed septic tank pumpers.

(d) Periodic maintenance of motors, pumps, and any other applicable mechanical devises.

(e) Replacement or repair of worn or damaged equipment.

(f) Steps to respond to any applicable emergencies, including but not limited to notifying an appropriate regulatory agency of emergency, determining cause of any major breakdown or of any essentially complete failure of any on-site sewerage system to function as designed, or to make repairs or replacements or modifications of design as required to restore the functioning of the system.

15. Developer will stub out a sewerage system connection device on each lot being purchased and to which the on-site sewerage system applies. The Management Association will exercise responsibility for the sewerage system commencing at the stub out on each lot with the exception that periodic pumping of the septic tanks connected to the community system will also be under Management Association responsibility. Each septic tank on the lots in the Association shall be pumped as needed or at intervals not exceeding five (5) years.

IN WITNESS WHEREOF, the parties hereto have executed this instrument as of the date first above written.

HELLER FINANCIAL, INC., formerly known as Walter E. Heller & Company, a Delaware corporation

By _____
Its _____

SPRINGFIELD WASTE MANAGEMENT ASSOCIATION, a Washington nonprofit corporation

By Richard B Heath
Its Pres.

Acknowledged by and consented to:

HEATH INVESTMENTS, INC., a Washington corporation

By Richard B. Heath
Its Pres.

202/28C2/101585

STATE OF WASHINGTON)
) ss.
COUNTY OF PIERCE)

On this day personally appeared before me Paul Chapman, to me known to be the Vice President of HELLER FINANCIAL, INC., the corporation that executed the within and foregoing instrument, and acknowledged said instrument to be the free and voluntary act and deed of said corporation, for the uses and purposes therein mentioned, and on oath stated that he was authorized to execute said instrument.

WITNESS my hand and official seal hereto affixed on October 17, 1985.

Notary Public in and for the State of Washington, residing at Seattle

STATE OF WASHINGTON)
) ss.
COUNTY OF PIERCE)

On this 18th day of October, 1985 personally appeared before me Richard B Heath, to me known to be the President of SPRINGFIELD WASTE MANAGEMENT ASSOCIATION, the corporation that executed the within and foregoing instrument, and acknowledged said instrument to be the free and voluntary act and deed of said corporation, for the uses and purposes therein mentioned, and on oath stated that he was authorized to execute said instrument.

WITNESS my hand and official seal hereto affixed on October 18, 1985.

Notary Public in and for the State of Washington, residing at Tacoma
Pierce County

STATE OF WASHINGTON)
) ss.
COUNTY OF PIERCE)

On this day personally appeared before me Richard B. Heath, to me known to be the President of HEATH INVESTMENTS, INC., the corporation that executed the within and foregoing instrument, and acknowledged said instrument to be the free and voluntary act and deed of said corporation, for the uses and purposes therein mentioned, and on oath stated that he was authorized to execute said instrument.

WITNESS my hand and official seal hereto affixed on October 18, 1985.

Howard D. Wehn
Notary Public in and for the State of Washington, residing at Tacoma

202/28C2/101585

Acknowledged and Approved:

Tacoma/Pierce County Health Department

By Gregg I. Grunenfelder
Its Supervisor, Water + Waste Section

STATE OF WASHINGTON)
)ss.
COUNTY OF Pierce)

On this 18th day of October, 1985, before me personally appeared Gregg I. Grunenfelder, to me known to be the Supervisor-Water/Waste of the Tacoma/Pierce County Health Department, the entity that executed the within and foregoing instrument, and acknowledged the said instrument to be the free and voluntary act and deed of said entity, for the uses and purposes therein mentioned, and on oath stated that he was authorized to execute said instrument.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my official seal the day and year first above written.

Nancy J. Klepser
NOTARY PUBLIC in and for the State of Washington, residing at Tacoma Pierce County.

EXHIBIT A

Lots 226-232, inclusive, 246-252, inclusive, and 255 and 256, in SPRINGFIELD as per plat recorded under Auditor's File No. 8011260320, records of Pierce County.

Situate in the County of Pierce, State of Washington.